

massive wealth. Stories of Spanish plunder in South America had reached Britain's ears and the public went crazy over South Sea Company's future earnings projections. Newton made public defamations over the ever-growing demand for the shares of the company and sold his holdings for 7,000 pounds, netting him a near 100 percent profit over the trade. As time went on, the interest never subsided and Newton finally gave in to the public frenzy by buying more shares. When the bubble finally burst, Newton had lost an amount of 20,000 pounds which led him to say, "*I can calculate the motions of heavenly bodies, but not the madness of people.*"

Benjamin Graham, known kindly as the 'Father of Value Investing', had a rough experience too. To give a perspective of his acclaimed fame, Warren Buffett said that Benjamin Graham's book was "*the best book on investing there is*". Warren, as a youngster, was so keen to work under Graham that he'd write letters daily for months asking to be an intern-of-sorts under him. Graham's fall to humility was an interesting one. He had become enamored by the growth stocks of the 1920's that he started to trade daily. He bought a luxury home on Central Park, New York, and hired a butler to take care of his domestic needs. Little did he know that things had become overvalued when the market crashed and he lost 2/3rd of his huge fortune, during the great crash of 1929. After the highly irreparable event, he changed his ideas. Such changes impacted the people around him and further editions of his book '*Security Analysis*' with Graham Dodd, have become the Bible for Value Investors.

Jesse Livermore had bucked the great fall of 1930's and shorted stocks which netted him a profit in the range of 100\$ million. He was one among the few who saw it coming and profited. Later in 1934, he had lost it all and announced himself bankrupt whereupon he shot himself to death. His suicide note said, "*Tired of fighting... my life has been a failure*"

George Soros, the much-acclaimed hedge fund manager famous for profiting off the British Sterling's downturn, had a humbling experience. He and his close counterpart Michael Steinhardt had realized that the tech craze had gone for too long in 2000 and wanted to dump the stocks. And they did just that in early 2001. But Druckenmiller, the fund manager at that time, felt the high prices would go on a little more and a Greater Fool would arrive to buy off them. They dipped once again into the markets. The bubble